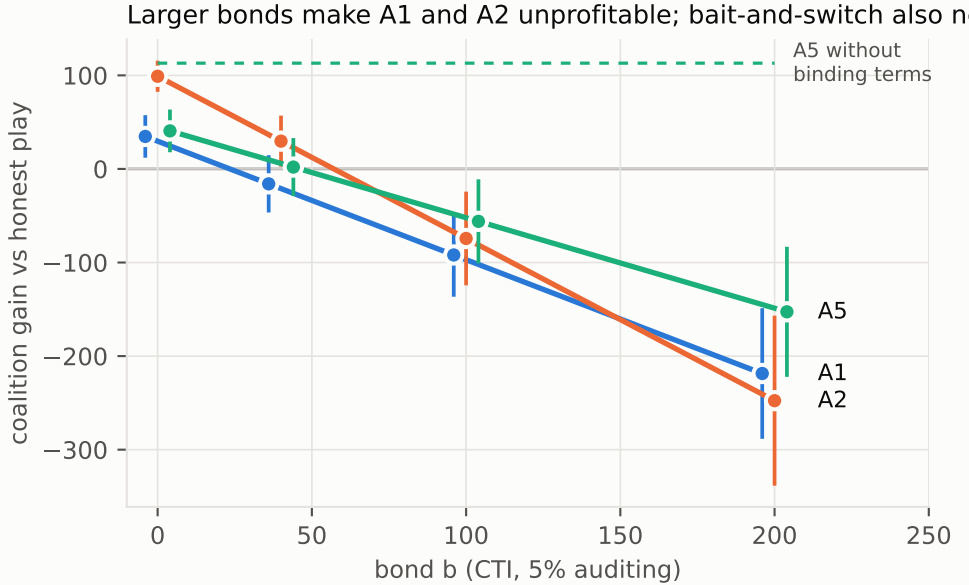
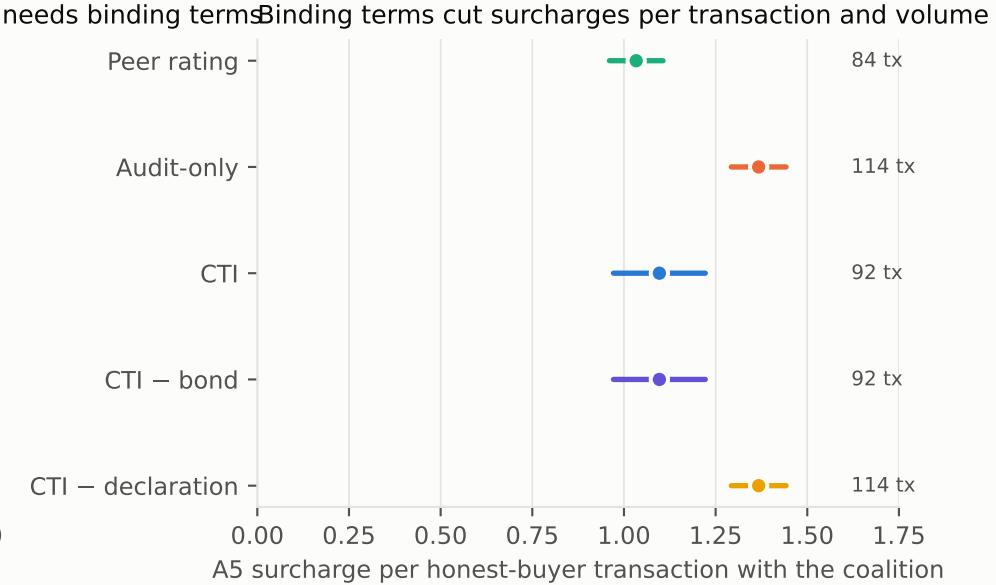

Larger bonds make A1 and A2 unprofitable; bait-and-switch also needs binding terms
A5 without binding terms
A5
A1
A2
coalition gain vs honest play
100
0
−100
−200
−300
0
50
100
150
200
250
bond b (CTI, 5% auditing)


Binding terms cut surcharges per transaction and volume
Peer rating
Audit-only
CTI
CTI − bond
CTI − declaration
84 tx
114 tx
92 tx
92 tx
114 tx
0.00
0.25
0.50
0.75
1.00
1.25
1.50
1.75
A5 surcharge per honest-buyer transaction with the coalition